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Diamond Trust Bank Kenya
Q1'2026 Earnings Note

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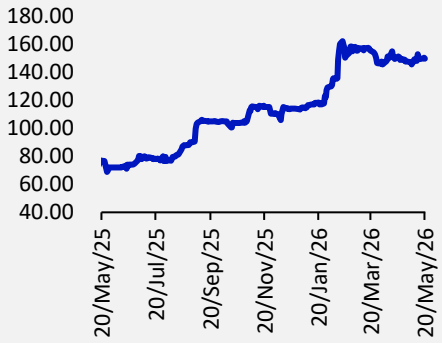
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DTB Bank Q1'26 Earnings Note

22nd May, 2026

Ticker Information	
NSE Code:	DTK
Issued Shares (Bn):	0.28
52-week high:	KES 170.00
52-week low:	KES 66.00

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	(1.0) %	(1.3) %	30.0%	95.4%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
BUY	KES 149.25	KES 161.00

Summary

- **Diamond Trust Bank Group delivered a resilient Q1'2026 performance, with profit after tax rising 7.7% y/y to KES 3.48Bn,** supported by strong balance sheet expansion and accelerated monetization of interest-earning assets. Net interest income surged 30.9% y/y to KES 10.02Bn, driven by renewed credit uptake across key lending segments and sustained deposit mobilization, with customer deposits and net loans rising 10.4% y/y and 13.8% y/y, respectively. However, softer non-funded income growth and a sharp increase in loan loss provisions point to a still-cautious operating landscape despite improving credit momentum. Even so, DTB continues to demonstrate earnings resilience, supported by its strong funding franchise, disciplined balance sheet deployment, and expanding regional banking footprint.

Key Highlights

- **Income Drivers:** DTB's earnings momentum in Q1'2026 was primarily underpinned by strong funded income growth, with net interest income surging 30.9% y/y to KES 10.02Bn from KES 7.66Bn in Q1'2025. This reflected accelerated credit intermediation across key lending segments, with the loan book expanding 13.8% y/y to KES 323.60Bn. The Group also appeared to recalibrate its investment book during the quarter, increasing allocation toward fair value government securities while reducing held-to-maturity exposure, signaling a more tactical yield positioning approach amid evolving liquidity and interest rate conditions.
- Non-funded income softened 3.2% y/y to KES 2.92Bn from KES 3.02Bn, weighed down by muted transactional activity and subdued FX trading opportunities. FX income remained broadly flat at KES 0.74Bn, reflecting continued normalization in currency markets compared to the elevated volatility environment witnessed in Q1'2025. Even so, core lending revenues continued to anchor topline performance amid softer non-interest revenue generation.
- **Asset Quality:** DTB adopted a more cautious risk recognition stance in Q1'2026, with loan loss provisions more than doubling to KES 2.23Bn from KES 0.89Bn in Q1'2025 despite improving credit growth momentum. This suggests the Group remains prudent toward still-fragile borrower segments even as the operating environment gradually stabilizes. We believe the elevated provisioning reflects continued balance sheet de-risking and conservative underwriting discipline supporting balance sheet resilience amid still-evolving credit conditions.

Operating Efficiency

The cost-to-income ratio eased to 45.6% from 53.7% in Q1'2025, supported by robust funded income growth and a noticeable repricing benefit on the funding side, as the cost of funds declined sharply to 5.0%. This supported notable margin expansion despite the easing rate environment, with net interest margins widening materially to 6.8%, highlighting the Group's growing ability to monetize its expanding balance sheet more efficiently. Even so, management maintained a cautious provisioning stance during the quarter, signaling continued prudence toward residual credit risks despite the improving lending environment.

Balance Sheet Dynamics

Net loans expanded 13.8% y/y to KES 323.60Bn, signaling improving credit appetite across key lending segments as the interest rate environment gradually softened. On the funding side, customer deposits rose 10.4% y/y to KES 511.93Bn, reinforcing the Group's funding franchise and supporting a stable liquidity position despite accelerated asset growth. We observed a shift within the investment book, with the Group increasing allocation toward fair value government securities while reducing held-to-maturity exposure. In our view, this reflects a more tactical treasury positioning strategy aimed at enhancing yield capture and balance sheet flexibility amid evolving market and liquidity conditions. Overall, DTB continues to exhibit disciplined balance sheet deployment, supported by strong deposit generation, improving credit momentum, and a resilient regional banking footprint.

Outlook

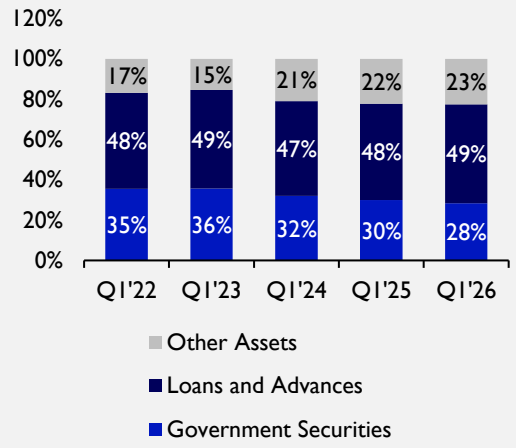
Looking ahead, we expect DTB to sustain its earnings momentum, supported by improving credit uptake, a resilient funding franchise, and continued expansion across its regional markets. The strong acceleration in funded income during Q1'2026 signals that the Group is increasingly benefiting from improved balance sheet utilization and easing funding pressures, positioning it favorably to capitalize on a gradually recovering private sector credit environment. We also expect the lender's SME and trade finance franchises to remain key growth anchors, particularly as regional trade flows and business activity continue to recover across East Africa.

At the same time, DTB's evolving treasury positioning and growing allocation toward fair value government securities suggest a more active balance sheet management approach, which could continue supporting yield enhancement and liquidity flexibility in the coming quarters. Meanwhile, the Group's continued investment in digital infrastructure and regional scalability should support scalability across the Group's regional banking operations over the medium term. Even so, we remain mindful of lingering credit risks and potential shifts in the interest rate environment, which could weigh on asset quality and lending momentum. Overall, we believe DTB remains well-positioned to deliver resilient earnings growth, supported by its diversified regional footprint, strong funding base, and disciplined execution strategy.

Recommendation

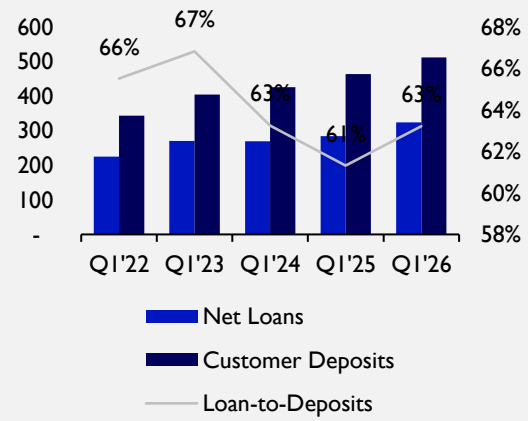
- **We maintain a BUY recommendation on DTB supported by expanding margins and resilient funded income growth.** At the current market price, the stock is trading at P/E ratio of 4.3x and a P/B ratio of 0.4x. Our one-year target price for DTB currently stands at KES 161.00- representing a c 7.9% upside potential from current levels.

Chart 2: Asset Composition



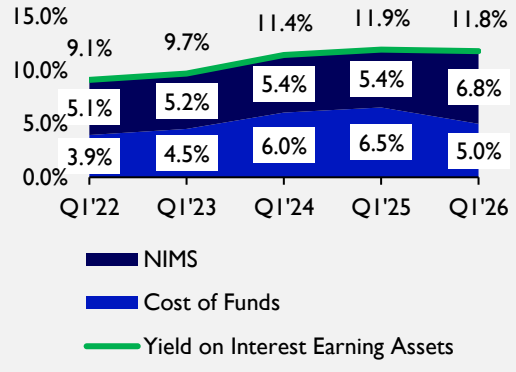
Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Expanding Net Interest Margins



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Bn)	Q1'22	Q1'23	Q1'24	Q1'25	Q1'26	% y/y change
Net Interest Income	5.54	6.68	7.09	7.66	10.02	▲ 30.9%
Net non-Interest Income	1.78	2.81	3.71	3.02	2.92	▼ (3.2%)
Total Operating income	7.32	9.49	10.80	10.68	12.94	▲ 21.2%
Provision for Impairment	(0.58)	(1.37)	(1.55)	(0.89)	(2.23)	▲ 151.8%
Total Operating expenses	(3.89)	(5.86)	(6.81)	(6.62)	(8.14)	▲ 22.9%
Profit before tax	3.39	3.65	3.98	4.05	4.81	▲ 18.6%
Profit after tax	2.39	2.65	2.94	3.23	3.48	▲ 7.7%
Annualized EPS	34.17	37.85	42.02	46.20	49.76	▲ 7.7%

Balance Sheet (KES Bn)	Q1'22	Q1'23	Q1'24	Q1'25	Q1'26	% y/y change
Government Securities	167.06	197.33	183.07	178.69	188.03	▲ 5.2%
Loans and Advances	224.80	270.37	268.95	284.26	323.60	▲ 13.8%
Total Assets	471.34	553.30	571.89	595.14	660.93	▲ 11.1%
Customer Deposits	343.14	404.63	425.21	463.58	511.93	▲ 10.4%
Total Liabilities	394.73	470.76	490.53	497.37	543.24	▲ 9.2%
Shareholder's Funds	69.10	72.94	71.88	86.92	105.62	▲ 21.5%

Ratio Analysis	Q1'22	Q1'23	Q1'24	Q1'25	Q1'26	% y/y change
Spreads Analysis						
Yield on Assets	9.1%	9.7%	11.4%	11.9%	11.8%	▼ (0.2%)
Cost of Funds	3.9%	4.5%	6.0%	6.5%	5.0%	▼ (1.5%)
Net Interest Margin	5.1%	5.2%	5.4%	5.4%	6.8%	▲ 1.4%
ROaE	7.1%	9.9%	11.2%	11.3%	11.4%	▲ 0.0%
ROaA	1.1%	1.4%	1.4%	1.5%	1.7%	▲ 0.2%
Profit Margin	32.6%	27.9%	27.2%	30.2%	26.9%	▼ (3.4%)
Operating Efficiency						
Cost to Income Less LLP	45.3%	47.3%	48.8%	53.7%	45.6%	▼ (8.1%)
Cost to Assets Less LLP	0.7%	0.8%	0.9%	1.0%	0.9%	▼ (0.1%)
Loan to Deposit Ratio	65.5%	66.8%	63.3%	61.3%	63.2%	▲ 1.9%
Asset Quality						
Gross NPL Ratio	12.7%	12.2%	15.0%	13.2%	11.8%	▼ (1.4%)
NPL Coverage	42.2%	46.3%	44.0%	39.9%	56.1%	▲ 16.2%
Cost of Risk	0.3%	0.5%	0.6%	0.3%	0.7%	▲ 0.4%
Capital Adequacy						
Core Capital/TRWA	20.5%	19.3%	17.4%	15.4%	15.3%	▼ (0.1%)
Total Capital /TRWA	21.8%	20.2%	18.2%	17.0%	16.6%	▼ (0.4%)
Liquidity	58.3%	56.2%	50.5%	54.6%	55.9%	▲ 1.3%

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